25LBCV02567 25LBCV02567

County: los-angeles

Division: Civil Law and Motion

Department: S28

Hearing date: 2026-07-16

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Case Number: 25LBCV02567 Hearing Date: July 16, 2026 Dept: S28

BACKGROUND

On
September 19, 2025, Plaintiff Ikechi Amadi ("Plaintiff") commenced this action in
pro per against Defendants AT&T Corporation and Best Buy Co., Inc. ("Defendants")
alleging various employment causes of action.

On
November 7, 2025, Defendant filed notice of removal to Federal Court.

On
December 31, 2025, Plaintiff filed notice of remand.

On April 27, 2026, Defendants filed the
instant motion to compel arbitration.

On May 18, 2026, Plaintiff filed opposition.

On June 9, 2026, Defendants filed a reply.

On June 24, 2026, Plaintiff filed a "supplemental
opposition" and notice of errata re: opposition.

DISCUSSION

Applicable
Law

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) "With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court." (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

The right to compel arbitration exists unless the court finds that the right has been waived by a party's conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2(a)-(c).)

Preliminary Matters

A. Plaintiff's Unauthorized Sur Reply

On June 24, 2026, after all briefing deadlines had passed and briefing had concluded, Plaintiff filed an unauthorized sur reply characterized as a "supplemental opposition" asserting entirely new substantive arguments for the first time regarding Defendants' purported waiver of the right to arbitrate. The Court declines to consider this unauthorized sur reply on due process grounds as Defendants would not have an opportunity to substantively respond, causing them great prejudice, and Plaintiff gives no reason why these arguments were not asserted in Opposition.

B. Plaintiff's Notice of Errata re: May 20, 2026 Opposition

On June 24, 2026, Plaintiff filed a notice of errata withdrawing two citations he relied on in opposition which he admits do not stand for the propositions offered. Thus, the Court will not consider these withdrawn authorities in analyzing the merits. While the Court appreciates Plaintiff withdrawing inaccurate citations after Defendant’s reply pointed out the inaccuracies, Plaintiff is also admonished to ensure diligence and candor to the Court in all future filings.

C. Unauthenticated Evidence in Opposition

On May 18, 2026, Plaintiff submitted exhibits to the Court. However, the exhibits are not attached to or authenticated by any declaration. They therefore lack the proper foundation and the Court declines to consider them in ruling on the merits.

D. Opposition Brief Formatting Issues

Plaintiff’s opposition is riddled with formatting issues, in violation of the following Rules of the California Rules of Court:

Rule 2.107. Margins

“The left margin of each page must be at least one inch from the left edge and the right margin at least 1/2 inch from the right edge.”

Rule 2.108. Spacing and numbering of lines

“The spacing and numbering of lines on a page must be as follows:

(1) The lines on each page must be one and one-half spaced or double-spaced and numbered consecutively.

. .

.

(4)
Line numbers must be placed at the left margin and separated from the text by a vertical column of space at least 1/5 inch wide or a single or double vertical line. Each line number must be aligned with a line of type, or the line numbers must be evenly spaced vertically on the page. Line numbers must be consecutively numbered, beginning with the number 1 on each page. There must be at least three line numbers for every vertical inch on the page."

Rule
2.109. Page numbering

"Each
page must be numbered consecutively at the bottom unless a rule provides otherwise for a particular type of document. The page numbering must begin with the first page and use only Arabic numerals (e.g., 1, 2, 3). The page number may be suppressed and need not appear on the first page."

Rule
2.110. Footer

"(a)
Location

Except
for exhibits, each paper filed with the court must bear a footer in the bottom margin of each page, placed below the page number and divided from the rest of the document page by a printed line.

(b)
Contents

The
footer must contain the title of the paper (examples: "Complaint," "XYZ Corp.'s Motion for Summary Judgment") or some clear and concise abbreviation."

Rule

2.111. Format of first page

“The first page of each paper must be in the following form:

. .
.

(4) Below the title of the court, in the space to the left of the center of the page, the title of the case. In the title of the case on each initial complaint or cross-complaint, the name of each party must commence on a separate line beginning at the left margin of the page. On any subsequent pleading or paper, it is sufficient to provide a short title of the case (1) stating the name of the first party on each side, with appropriate indication of other parties, and (2) stating that a cross-action or cross-actions are involved (e.g., "and Related Cross-action"), if applicable.

(5) To the right of and opposite the title, the number of the case.”

Plaintiff is admonished to comply with Court rules going forward as improperly formatted filings place an undue burden on the Court. The Court will exercise its discretion to consider Plaintiff’s opposition this time, but may not do so again if Plaintiff’s filings continue to be formatted in violation of Court rules.

Analysis

E. Applicability of The Federal Arbitration Act (“FAA”)

“The party seeking to enforce an arbitration agreement has the burden of showing FAA preemption.” (Lane v. Francis Capital Mgmt. LLC (2014) 224 Cal.App.4th 676, 684.) California law provides that parties may expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law. (Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal. 4th 376, 394.) Otherwise, the FAA provides for enforcement of arbitration provisions in any "'contract evidencing a transaction involving commerce.' (9 USC § 2.)." (Allied-Bruce Terminix Companies, Inc. v. Dobson (1995) 513 U.S. 265, 277.) Accordingly, "[t]he party asserting the FAA bears the burden to show it applies by presenting evidence establishing the contract with the arbitration provision has a substantial relationship to interstate commerce[.]" (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 234, [italics added].) Moreover, as noted above, California contract law applies to the validity of the arbitration agreement. (Winter, supra, 166 Cal.App.4th at p. 947.)

Here, the Agreement expressly states that "employment with [Unit 7] involves interstate commerce," and "this Agreement is subject to the Federal Arbitration Act." (Mohsini Decl., Ex. A.) The agreement also states: "You and Company agree that all claims shall be submitted to final and binding arbitration, by a single arbitrator, in the county and state of the nearest office of the American Arbitration Association ('AAA') where you applied to work for Company, or, if hired, where you worked for Company, according to the provisions of the Employment Arbitration Rules of the AAA then in effect and the substantive law of the FAA. In the event of any inconsistency between the FAA and the Employment Arbitration Rules of the AAA, the FAA will prevail." (Ibid.) The Court finds that this language clearly invokes the FAA. Plaintiff does not dispute the applicability of the FAA. Thus, the FAA applies.

F. Existence of a Valid Arbitration Agreement

In deciding a petition to compel arbitration, trial courts must decide first whether an enforceable arbitration agreement exists between the parties, and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961; see also Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 ["[g]eneral principles of contract law govern whether parties have entered a binding agreement to arbitrate"].)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972; see 9 U.S.C. § 2 [“…an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.”].) General principles of contract law determine if the parties have entered into a binding agreement to arbitrate. (Craig v. Brown & Root, Inc. (2000) 84 Cal.App.4th 416, 42, citing Chan v. Drexel Burnham Lambert, Inc. (1986) 178 Cal.App.3d 632, 640-641.)

California Rules of Court, rule 3.1330 provides that a motion or petition to compel arbitration pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 “must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration.” (Cal. Rules. Ct., 3.1330.) “The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Id.)

Here, Defendants have met their burden of demonstrating the existence of a valid arbitration agreement by presenting a copy of the signed agreement to the Court. In support of the Motion, Defendants offer the declaration of Farid Mohsini, the President of Plaintiff’s former employer, Unit 7 Consulting. (Mohsini Decl., ¶ 1.) Mohsini declares that they have knowledge of the business records and Plaintiff’s employee file. (Ibid.) Mohsini declares that on or around June 5, 2025, Plaintiff was hired by Unit 7 and commissioned to work as a Sales Representative for AT&T products and services within a Best Buy store (Id., ¶ 3.) Mohsini further declares that Plaintiff executed an Arbitration Agreement, titled Mutual Arbitration of All Claims Agreement (“Agreement”) on June 5, 2025. (Id., ¶ 4.) Mohsini declares that Unit 7 maintains a practice and policy that Sales Representatives are required to sign the Agreement (or a similar agreement that contemplates arbitration of potential employment related claims) at the commencement of their employment. (Ibid.)

Plaintiff does not dispute that he signed the Agreement.

Thus, Defendants have met their burden to demonstrate the existence of a valid arbitration agreement signed by Plaintiff and Unit 7. However, Defendants are not signatories to the Agreement. The Court discusses this further below.

G.
Nonsignatory Right to Compel as Third Party Beneficiaries

"[T]he nonsignatory bears the burden to establish he or she is a party to the arbitration agreement/provision covering the dispute." (Jones v. Jacobson (2011) 195 Cal.App.4th 1, 15.) Generally, just signatories to arbitration agreements have standing to enforce them, with exceptions as to nonsignatory persons "who are agents or alter egos of a signatory party or intended third party beneficiaries of an arbitration agreement." (Bouton v. USAA Casualty Ins. Co. (2008) 167 Cal.App.4th 412, 424. Accord Smith v. Microskills San Diego L.P. (2007) 153 Cal.App.4th 892, 896.) "A non-signatory is a third-party beneficiary only to a contract 'made expressly for [its] benefit.' Cal. Civ. Code § 1559." (Ngo v. BMW of N. Am., LLC (9th Cir. 2022) 23 F.4th 942, 946.)

The third party must meet the Goonewardene requirements to "prove that 'express provisions of the contract,' considered in light of the 'relevant circumstances,' show that (1) 'the third party would in fact benefit from the contract;' (2) 'a motivating purpose of the contracting parties was to provide a benefit to the third party;' and (3) permitting the third party to enforce the contract 'is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.'" (Ngo, supra, 23 F.4th at 946, citing Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Plaintiff argues that as nonsignatories to the Agreement, AT&T and Best Buy have no right to compel Plaintiff to arbitrate. (Opposition, p. 14.)

Defendants argue that they were intended third-party beneficiaries of the Agreement between Plaintiff and Unit 7 as clients of Unit 7, based on the following language: "You and Company consent to the joinder and participation in the arbitration proceeding of parties, who are not parties or signatories to this Agreement, including but not limited to Company's clients, contractual partners,. . . or any other essential party relevant to a full and complete settlement of any dispute arising out of or relating to your application or candidacy for employment, employment, or termination of employment with Company . . . . The obligation to arbitrate claims described in this Agreement may be enforced by you or the Company or by any non-signatory third party or that third party's employees, agents, or representatives." (Mohsini Decl., ¶ 5, Ex. B (emphasis added).) (Reply, pp. 13-14.)

Here, Defendants were intended third party beneficiaries under the Agreement. Plaintiff was hired by Unit 7 and commissioned to work as a Sales Representative for AT&T products and services within a Best Buy store. (Mohsini Decl., ¶ 3.) As clients of Unit 7, Defendants authorized Unit 7 to place commissioned salespersons at various retail locations to perform customer acquisition and direct sales services. (Ibid.) Unit 7's clients, including Defendants, do not directly employ such salespersons, although client-specific policies apply during employee placement. (Ibid.)

The Goonewardene requirements are met here. First, Defendants would in fact benefit from the Agreement as Unit 7's clients who were being provided with Plaintiff's services through Unit 7, which places sales representatives like Plaintiff in Defendants' stores in exchange for payment from Defendants. Any benefit that Defendants might receive from the Agreement is not peripheral nor indirect as it is not predicated on the decisions of others to arbitrate as the arbitration clause here expressly states that Defendants, as clients of Unit 7, may compel arbitration.

Second, a motivating purpose of the contracting parties was to provide a benefit to the third party. By giving Defendants the independent power to compel arbitration, it appears that a motivating purpose of the contracting parties was to provide a benefit to Defendants.

Finally, permitting Defendants to enforce the contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.

Plaintiff was employed by Unit 7 to provide services for Defendants and other third-party clients. It is thus reasonable for Plaintiff to expect to be compelled to arbitration not only with Unit 7, but with Unit 7's clients that Plaintiff performs work for. Although it appears that Unit 7 terminated Plaintiff's employment, Plaintiff is suing AT&T and Best Buy rather than Unit 7. Plaintiff cannot claim this employment relationship with AT&T and Best Buy as the basis for this action while simultaneously disclaiming that relationship when it comes to AT&T and Best Buy's ability to compel Plaintiff to arbitrate under the same Agreement that formed the basis for his employment. Plaintiff must be estopped from deriving the benefits from the Agreement while disclaiming the obligations arising from it.

Therefore, Defendants are third party beneficiaries who may enforce the Agreement as nonsignatories.

The burden now shifts to Plaintiff to challenge the enforceability of the agreement.

D.
PAGA Claim

Plaintiff argues that he has an "active PAGA claim" and that if this Court were inclined to compel arbitration of any individual claims, the representative PAGA action must remain before this Court per Viking River Cruises, Inc. v. Moriana (2022) 596 U.S. 639. (Opposition, p. 9.) Plaintiff contends that he timely filed a PAGA notice with the LWDA on December 9, 2025, assigned Case No. LWDA-CM-1142921-25, naming AT&T Corporation as the employer. (Ibid.)

In Reply, Defendants argue that even assuming Plaintiff had properly authenticated the existence of his alleged PAGA notice (which he has not done), the operative pleading clearly shows that Plaintiff has not asserted a PAGA cause of action here. (Reply, p. 6.)

Here, Plaintiff has not established that he gave PAGA notice due to his failure to authenticate his exhibits. Even if Plaintiff did give such notice, the Complaint does not assert a PAGA cause of action. Thus, this argument is unavailing.

E. Independent

Consideration

Plaintiff
argues that the Agreement was signed over a week after Plaintiff began his employment, such that there was no independent consideration, making the Agreement enforceable per Asmus
v. Pacific Bell (2000)
23 Cal.4th 1, 11 and Craig v. Brown & Root, Inc. (2000) 84
Cal.App.4th 416, 420 (which Plaintiff withdrew as unsupportive.) (Opp., p. 10.)

In reply, Defendants argue that
Plaintiff signed the arbitration agreement at issue as part of an ongoing onboarding process, and is best understood as occurring at the commencement of his employment. (Reply, p. 6.) Defendants also point out that Plaintiff has produced no evidence other than his own self-serving testimony to establish that his actual start date was May 26, 2025. (Ibid.)

Defendants further argue that even
if Plaintiff's employment began a few days before he signed the Agreement, continued employment can constitute acceptance of an agreement to arbitrate in this context per Harris v. TAP Worldwide, LLC (2016) 248 Cal.App.4th
373, 384-385 and Diaz v. Sohnen Enterprises (2019) 34 Cal.App.5th 126,
130 ("California law in this area is
settled: when an employee continues his or her employment after notification that an agreement to arbitration is a condition of continued employment, that employee has impliedly consented to the arbitration agreement.").

Here, the Court agrees with
Defendants. Plaintiff has put forth no authority for the proposition that an arbitration agreement signed a few days post-hire lacks consideration. The timing of an employee's onboarding can surely vary, and Plaintiff's continued employment served as adequate consideration to support enforcement of the Agreement.

Thus, this argument fails.

F. Agreement
Obtained by Coercion

Plaintiff

argues that the Agreement is void because it was obtained through coercion in violation of California law. (Opp., p. 10.) Plaintiff cites to California Civil Code section 1569 which defines duress as unlawful confinement of a person, unlawful detention of property, or a threat to do something that the party threatening has no legal right to do. (Ibid.) Plaintiff argues that conditioning Plaintiff's continued employment on the signing of a mandatory arbitration waiver, with termination as the stated alternative, meets the definition of duress. (Ibid.)

Here, Plaintiff's duress and coercion argument fails. Defendants do have a legal right to terminate Plaintiff's employment which negates the element "threat to do something that the party threatening has no legal right to do." Further, Plaintiff puts forth no evidence of unlawful confinement or unlawful detention of property. While giving Plaintiff's argument a generous reading seems to hint at an argument of adhesion going to unconscionability, the Court will not develop this argument on Plaintiff's behalf.

G. Defenses to Enforcement: Unconscionability

The doctrine of unconscionability refers to "an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party." (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal.4th 1109, 1133.) It consists of procedural and substantive components, "the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (Id.) Although both components of unconscionability must be present to invalidate an arbitration agreement, they need not be present in the same degree. (Armendariz v. Found. Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114 ("Armendariz"), abrogated in-part on other grounds by Concepcion, 563 U.S. 333.) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. [Citations.] In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Id.) "The party resisting arbitration bears the burden of proving unconscionability.” (Pinnacle Museum Tower Ass’n v. Pinnacle Market Dev. (2012) 55 Cal.4th 223, 247.)

i.
Procedural Unconscionability

Procedural unconscionability “pertains to the making of the agreement.” (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.) Procedural unconscionability “focuses on two factors: ‘oppression’ and ‘surprise.’ ‘Oppression’ arises from an inequality of bargaining power which results in no real negotiation and ‘an absence of meaningful choice.’ ‘Surprise’ involves the extent to which the supposedly agreed-upon terms of the bargain are hidden in the prolix printed form drafted by the party seeking to enforce the disputed terms.” (Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 484.)

A contract of adhesion typically denotes a standardized contract imposed and drafted by the party of superior bargaining strength which relegates to the subscribing party only the opportunity to adhere to the contract or reject it. (Armendariz, supra, 24 Cal.4th at 113.) The adhesive nature of a contract is one factor that the courts may consider in determining the degree of procedural unconscionability. (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 84 fn.4.)

Plaintiff argues that oppression exists here because the agreement was mandatory, non-negotiable, and presented as a condition of continued employment to a worker with zero bargaining power, no legal representation, and no realistic alternative. (Opp., p. 13.)

In reply, Defendants argue that although the Agreement was a condition of employment, California courts have made clear that arbitration clauses, particularly in employment contracts, are enforceable despite claims that the clauses were presented as part of an adhesion contract. (Reply, p. 10)

Here,

the agreement was presented on a take-it-or-leave-it basis, illustrating the adhesive nature of the contract. (Armendariz, supra, 24 Cal.4th at p. 115; Carmona, supra, 226 Cal.App.4th at p. 84, fn.4). An employee, like Plaintiff, could reasonably believe that the Agreement was a condition of continued employment, which would be rescinded if he chose not to accept the Agreement. ("The Agreement containing that clause was adhesive in that it was imposed on respondent 'as a condition of employment' and with 'no opportunity to negotiate.' " Subcontracting Concepts (CT), LLC v. De Melo (2019) 34 Cal. App. 5th 201, 211, citing Armendariz, supra, 24 Cal.4th at p. 115 ["in the case of preemployment arbitration contracts, the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement"].) Further, Defendants, a company, imposed and drafted the Agreement with sophistication and superior bargaining power compared to Plaintiff, their prospective employee, who had no legal representative and limited sophistication as to legal documents.

Thus,
the Agreement is a contract of adhesion.

The
finding of adhesion is some evidence of oppression that begins, yet does not end, the legal analysis. "Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion…. If the contract is adhesive, the court must then determine whether 'other factors are present which, under established legal rules — legislative or judicial — operate to render it [unenforceable].'" (Armendariz, supra, 24 Cal.4th at p. 113.)

The
first element of an unconscionable contract is an unconscionable procedure, meaning the contract was formed in circumstances that involved oppression, surprise, or both. (Lane v. Francis Capital Management, LLC (2014) 224 Cal.App.4th 676, 689.) Surprise refers to a "variety of deceptive practices and tactics, including hiding a clause in a mass of fine print or phrasing a clause in language that is incomprehensible to a layperson." (Penilla v. Westmont Corp. (2016) 3 Cal.App.5th 205, 216.) Oppression focuses on circumstances including "(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and

complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney." (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 126-127 (OTO), page number omitted.) The adhesive nature of a contract is one factor that the courts may consider in determining the degree of procedural unconscionability. (Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 84 fn.4.)

Plaintiff argues that surprise also exists because the arbitration clause was embedded in a multi-document onboarding package transmitted electronically through a third-party platform, with no opportunity to ask questions, seek counsel, or negotiate any term.

Here, Plaintiff puts forth no evidence to establish surprise. Based on the Agreement as proffered by Defendants, the Agreement is on a separate document with a bold title, "MUTUAL ARBITRATION OF ALL CLAIMS AGREEMENT (CA)" and appears to be part of a 12 page packet.

As to the remaining OTO factors, Plaintiff makes no clear argument.

The foregoing indicates minor oppression based on an inequality of bargaining power and an absence of meaningful choice. As Plaintiff has established a minor degree procedural unconscionability, he now must establish a high degree of substantive unconscionability based on the "sliding scale" approach.

ii. Substantive Unconscionability

An agreement is substantively unconscionable if it imposes terms that are "overly harsh," "unduly oppressive," "unreasonably favorable," or "so one-sided as to 'shock the conscience.'" (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 910-911 ("Sanchez").) "All of these formulations point to the central idea that unconscionability doctrine is concerned not with 'a simple old-fashioned bad bargain' [citation], but with terms that are 'unreasonably favorable to the more powerful party.' [Citation.]" (Id. at p. 911.) "These include 'terms that impair the integrity of the bargaining process or otherwise contravene the public interest or public policy; terms (usually of an adhesion or boilerplate nature) that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law, fine-print terms, or provisions that seek to negate the reasonable expectations of the nondrafting party, or unreasonably and unexpectedly harsh terms having to do with price or other central aspects of the transaction.' " (Id.)

As to substantive unconscionability, Plaintiff argues only that "Substantive unconscionability flows from the class action waiver applied to a low-wage commissioned sales representative with wage theft and FMLA retaliation claims. These are precisely the categories of claims where class and representative procedures exist to make litigation economically feasible for individual workers who could not afford to pursue their claims alone. Stripping those procedural rights from a worker in Plaintiff's position, through contract he was coerced into signing, is substantively unconscionable under any reasonable reading of Armendariz." (Opp., pp. 13-14.)

Defendants first argue that Plaintiff has not asserted a class or representative action claim in this case, so any reference to such a provision is irrelevant. (Reply, p. 11.) However, the question in determining substantive unconscionability "does not involve comparing the terms of the arbitration clause with the [] claims respondent is pursuing." (Subcontracting Concepts (CT), LLC v. De Melo (2019) 34 Cal.App.5th 201, 212.) Instead, courts "review the arbitration clause for substantive unconscionability at the time the agreement was made." (Ibid.; emphasis added.) Thus, whether Plaintiff brings a class claim is irrelevant as to whether this term is unconscionable.

Defendants next argue that even if Plaintiff had asserted a class or representative action waiver, class and representative action waivers are enforceable under the FAA. (Ibid.)

Here, the class action waiver contained in the Agreement is enforceable under the FAA. Under the California Arbitration Act ("CAA") the "Gentry rule" prohibits employee class action waivers. (Gentry v. Superior Court (2007) 42 Cal. 4th 443 ("Gentry").) However, the Gentry rule against employee class action waivers is invalid when the FAA applies. (Iskanian v. CLS

Transportation Los Angeles, LLC (2014) 59 Cal. 4th 348, 359–60, overruled on other grounds by Quach v. California Com. Club, Inc. (2024) 16 Cal. 5th 562, and abrogated on other grounds by Viking River Cruises, Inc. v. Moriana (2022) 596 U.S. 639, ["The question [cite] is whether a state's refusal to enforce such a waiver on grounds of public policy or unconscionability is preempted by the FAA. We conclude that it is and that our holding to the contrary in Gentry v. Superior Court (2007) 42 Cal.4th 443. . .has been abrogated by recent United States Supreme Court precedent."].)

Thus,
Plaintiff's argument of substantive unconscionability due to the class action waiver fails.

As
both procedural and substantive unconscionability are required to render an agreement unenforceable, the Court finds that the Agreement is valid and enforceable.

CONCLUSION

Defendants' Motion to Compel Arbitration is
GRANTED.

The entire action is STAYED pending
completion of arbitration.

The Court sets an arbitration completion
status conference. The parties are ordered to file a joint
report regarding the status of the arbitration five court days prior
to the status conference.

Moving party to give notice.